

Federal Maritime Commission

Docket No. 19-09

VERTERRA LTD.

COMPLAINANT,

V.

D.B. GROUP AMERICA LTD. and

D.B. GROUP INDIA LTD.

RESPONDENTS.

VERIFIED ANSWER AND AFFIRMATIVE DEFENSES

D.B. GROUP AMERICA LTD. and D.B. GROUP INDIA LTD. (collectively, “D.B. Group” or “Respondents”), by and through their undersigned counsel of record, hereby submits its Verified Answer and Affirmative Defenses to the Verified Complaint (“Complaint”) in this proceeding filed by VerTerra Ltd. (“VerTerra” or “Complainant”), states:

1. Respondents admit, upon information and belief, that Complainant has a principal place of business in the New York City area. Respondents deny knowledge or information sufficient to form a belief as to the truth of the remaining allegations set forth in Paragraph 1 of the Complaint, and for that reason, deny them.

2. Respondents admit, upon information and belief, the allegations set forth in Paragraph 2 of the Complaint.

3. Respondents deny knowledge or information sufficient to form a belief as to the truth of the remaining allegations of Paragraph 3 of the Complaint and, for that reason, deny them.

4. Respondents admit the allegations set forth in Paragraph 4 of the Complaint.

5. Respondents admit the allegations set forth in Paragraph 5 of the Complaint.

6. Respondents admit the allegations set forth in Paragraph 6 of the Complaint.

7. Respondents admit the allegations set forth in Paragraph 7 of the Complaint.

8. Respondents admit the allegations set forth in Paragraph 8 of the Complaint.

9. Respondents admit the allegations set forth in Paragraph 9 of the Complaint.

10. Paragraph 10 states a legal conclusion to which no response is required. To the extent a response is required, Respondents specifically deny that Complainant is entitled to the relief requested, or to any relief at all.

11. Respondents admit that D.B. Group America handled certain shipments for Complainant prior to December 2018 for which no tariff was published and no NRA was in place in the format required by the Commission. Respondents deny the remaining allegations set forth in Paragraph 11 of the Complaint. By way of further answer, Respondents state that from 2019 through the present, all shipments are fully compliant with The Shipping Act.

12. Respondents deny the allegations set forth in Paragraph 12 of the Complaint.

13. Respondents admit that D.B. Group America handled certain shipments for Complainant prior to December 2018 for which no tariff was published in the format required by the Commission. Respondents deny the remaining allegations set forth in Paragraph 13 of the Complaint. By way of further answer, Respondents state that from 2019 through the present, all shipments are fully compliant with The Shipping Act.

14. Respondents admit that D.B. Group America handled certain shipments for Complainant prior to December 2018 for which no NRA or NSA was in place in the format required by the

Commission. By way of further answer, Respondents state that from 2019 through the present, all shipments are fully compliant with The Shipping Act.

15. Respondents admit that the Complainant and Respondents entered into a tolling Agreement extending the time to file the FMC action until November 22, 2019. Respondents deny the remaining allegations set forth in Paragraph 15 of the Complaint.

16. Respondents deny the allegations set forth in Paragraph 16 of the Complaint.

17. Respondents admit that in May of 2016 VerTerra and Michael Dwork, President of VerTerra executed a credit application. Respondents deny the remaining allegations set forth in Paragraph 17 of the Complaint.

18. The allegations in Paragraph 18 of the Complaint refers to the contents of a document, which speaks for itself, and no response is required.

19. Respondents deny the allegations in Paragraph 19 of the Complaint.

20. Respondents admit that D.B. Group America handled shipments for Complainant from May 2016 through December 2018. Respondents deny knowledge or information sufficient to form a belief as to the truth of the remaining allegations of Paragraph 20 of the Complaint at this stage of the proceeding and, for that reason, deny them.

21. Respondents admit the allegations that VerTerra ceased shipping with D.B. America in December of 2018. Respondents deny the remaining allegations set forth in Paragraph 21 of the Complaint.

22. Respondents deny the allegations in Paragraph 22 of the Complaint.

23. Respondents admit that D.B. America informed VerTerra that it had not overcharged VerTerra and it had obtained written quote approvals from VerTerra on each shipment. Respondents deny the remaining allegations in Paragraph 23 of the Complaint.

24. Respondents deny knowledge or information sufficient to form a belief as to the truth of the allegations set forth in Paragraph 24 of the Complaint and, for that reason, deny them.

25. Respondents admit that D.B. Group America handled certain shipments for Complainant prior to December 2018 for which no tariff was published in the format required by the Commission. Respondents deny the remaining allegations set forth in Paragraph 25 of the Complaint. By way of further answer, Respondents state that from 2019 through the present, all shipments are fully compliant with The Shipping Act.

26. Respondents admit that D.B. Group America handled certain shipments for Complainant prior to December 2018 for which no tariff was published in the format required by the Commission. Respondents deny the remaining allegations set forth in Paragraph 26 of the Complaint. By way of further answer, Respondents state that from 2019 through the present, all shipments are fully compliant with The Shipping Act.

27. Respondents admit that D.B. Group America handled certain shipments for Complainant prior to December 2018 for which no NSA or NRA was in place in the format required by the Commission. Respondents deny the remaining allegations set forth in Paragraph 27 of the Complaint. By way of further answer, Respondents state that from 2019 through the present, all shipments are fully compliant with The Shipping Act.

28. Paragraph 28 states a legal conclusion to which no response is required. To the extent a response is required, Respondents specifically deny that Complainant is entitled to the relief requested, or to any relief at all.

29. Paragraph 29 states a legal conclusion to which no response is required. To the extent a response is required, Respondents specifically deny that Complainant is entitled to the relief requested, or to any relief at all.

30. Respondents admit that D.B. Group America handled certain shipments for Complainant prior to December 2018 for which no NSA or NRA was in place in the format required by the Commission. Respondents deny the remaining allegations set forth in Paragraph 30 of the Complaint. By way of further answer, Respondents state that from 2019 through the present, all shipments are fully compliant with The Shipping Act.

31. Respondents deny knowledge or information sufficient to form a belief as to the truth of the allegations set forth in Paragraph 32 of the Complaint and, for that reason, deny them.

32. The allegations in Paragraph 18 of the Complaint refers to the contents of a document, which speaks for itself, and no response is required.

33. Paragraph 33 states a legal conclusion to which no response is required. To the extent a response is required, Respondents specifically deny that Complainant is entitled to the relief requested, or to any relief at all.

34. The allegations in Paragraph 34 of the Complaint refers to the contents of a document, which speaks for itself, and no response is required.

35. Respondents admit that there was not an NSA or NRA between Complainant and D.B. Group India Ltd., and that D.B. Group America handled certain shipments for Complainant prior to December 2018 for which no NSA or NRA was in place in the format required by the Commission. Respondents deny the remaining allegations set forth in Paragraph 35 of the Complaint. By way of further answer, Respondents state that from 2019 through the present, all shipments are fully compliant with The Shipping Act.

36. Respondents admit that D.B. Group America handled certain shipments for Complainant prior to December 2018 for which certain charges or fees were not referenced in a tariff in the format required by the Commission. Respondents deny the remaining allegations in Paragraph 36 of the Complaint.

37. Respondents deny the allegations in Paragraph 37 of the Complaint.

38. Respondents deny the allegations in Paragraph 38 of the Complaint.

39. Respondents deny the allegations in Paragraph 39 of the Complaint.

40. Paragraph 40 states a legal conclusion to which no response is required. To the extent a response is required, Respondents specifically deny that Complainant is entitled to the relief requested, or to any relief at all.

41. Paragraph 41 states a legal conclusion to which no response is required. To the extent a response is required, Respondents specifically deny that Complainant is entitled to the relief requested, or to any relief at all.

42. Paragraph 42 states a legal conclusion to which no response is required. To the extent a response is required, Respondents specifically deny that Complainant is entitled to the relief requested, or to any relief at all.

43. Paragraph 43 states a legal conclusion to which no response is required. To the extent a response is required, Respondents specifically deny that Complainant is entitled to the relief requested, or to any relief at all.

44. Paragraph 44 states a legal conclusion to which no response is required. To the extent a response is required, Respondents specifically deny that Complainant is entitled to the relief requested, or to any relief at all.

45. Paragraph 45 states a legal conclusion to which no response is required. To the extent a response is required, Respondents specifically deny that Complainant is entitled to the relief requested, or to any relief at all.

46. Paragraph 46 states a legal conclusion to which no response is required. To the extent a response is required, Respondents specifically deny that Complainant is entitled to the relief requested, or to any relief at all.

47. Paragraph 47 states a legal conclusion to which no response is required. To the extent a response is required, Respondents specifically deny that Complainant is entitled to the relief requested, or to any relief at all. By way of further answer, Respondents state that from 2019 through the present, all shipments are fully compliant with The Shipping Act.

48. Paragraph 48 states a legal conclusion to which no response is required. To the extent a response is required, Respondents specifically deny that Complainant is entitled to the relief requested, or to any relief at all.

49. Respondents deny the allegations in Paragraph 49 of the Complaint.

50. Respondents deny the allegations in Paragraph 50 of the Complaint.

51. In response to Paragraph 51 of the Complaint, Respondents do not oppose that a hearing be held in New York, New York.

Wherefore respondent prays that the Complaint in this proceeding be dismissed in its entirety with costs and attorneys' fees awarded to Respondents.

AFFIRMATIVE DEFENSES

1. Complainant has failed to state a claim upon which relief can be granted.
2. Complainant's allegations are conclusory and fail to state a claim for relief.
3. Complainant failed to mitigate its damages.
4. Complainant's claims are time-barred by applicable statute of limitations.
5. Complainant's claims are time-barred by the contractual limitations period agreed to by the Parties, and any claim for relief for shipments prior to July 3, 2018 are time-barred.

6. The Commission lacks subject matter jurisdiction in that this is a claim for breach of a service contract, and the parties irrevocably consented to the exclusive jurisdiction of the federal and state courts in New York.

7. Complainant violated the Shipping Act when it knowingly and willfully attempted to obtain ocean transportation services without paying the applicable rates by means of an “unjust or unfair device or means” in violation of Section 10(a)(1) of the Shipping Act. Accordingly, Complainant’s allegations are barred by the doctrine of unclean hands.

8. The alleged Shipping Act violation by Respondents are not the proximate cause of Complainant’s alleged loss, and Complainant suffered no damages as a result of the alleged acts or omissions of Respondent.

Undersigned counsel, per 46 C.F.R. § 502.2 (f)(3), certifies that this e-filed copy is a true and correct copy of the paper original, and that the paper signed original and five (5) copies are being filed with the Secretary of the Commission.

Respectfully submitted this, the 16th day of March, 2020.

REISMAN, RUBEO & ALTMAN, LLP



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CERTIFICATE OF SERVICE

I hereby certify that I have this 16th day of March, 2020, served a copy of the foregoing document upon all parties by electronic mail.



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VERIFICATION

NICOLA DE BORTOLI, being first duly sworn on oath deposes and says that he is the President of D.B. GROUP AMERICA, LTD., and is the person who signed the foregoing Answer; that D.B. GROUP AMERICA, LTD. and D.B. GROUP INDIA LTD. are affiliated companies under the common ownership of D.B. GROUP SPA; that he has read the foregoing Answer and that the facts stated therein with respect to both D.B. GROUP AMERICA, LTD. and D.B. GROUP INDIA LTD. are true of his own knowledge or on information received by others, except as to those matters that are therein stated on information and belief, and concerning those matters, he believes to be true.



NICOLA DE BORTOLI

Sworn to before me this
16th day of March, 2020.



NOTARY PUBLIC

STATE OF NEW YORK
COUNTY OF QUEENS

SIGNED BEFORE ME THIS

16th DAY OF March, 2020

KAREN EVANS
NOTARY PUBLIC, State of New York
No. 01EV6336425
Qualified in Queens County
Commission Expires Feb. 01, 2024

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